executive order. If the agent is a private person, the relationship is defined in a contract. This rearrangement is termed ‘agencification’ in the field of new public management. The principal should contract out everything that can be contracted out, in this fashion.

After this is done, the work of the department splits into two tracks:

1. Contract management for each of these relationships; and
2. Performing, within the department, all the difficult functions which are not easy to specify, where there are political complexities, which are not mere technical problems.

The maximal delegation of technical problems into a group of agencies is valuable as it frees up capacity in the department for the political problems that cannot be delegated.

We should not think that once something has been delegated, the principal can drop down to zero engagement. The principal–agent relationship will only work correctly when the principal stays engaged in the work of the agent and engages in contract management as specified in the relevant legal instrument. This will require capacity and resourcing at the principal.

Example 54: A Ministry of Finance for the twenty-first century

As an example, in 2004, we worked on a Ministry of Finance committee report, ‘Ministry of Finance for the 21st Century’. [2] This was an attempt at rethinking the organization design of the Ministry of Finance, which comprises organization structure and processes. A key part of this work was carving out sub-problems from the overall tasks of the Ministry of Finance, and assigning these to a constellation of agencies.

This involves clarifying the role of RBI, setting up the Public Debt Management Agency (PDMA), etc. The separation between policy